Cambridge IGCSE™

ECONOMICS

0455/21

Paper 2 Structured Questions

Predicted Hard

MARK SCHEME
Maximum Mark: 90

Published

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination. It shows the basis on which Examiners were instructed to award marks.

Mark schemes should be read in conjunction with the question paper.

This predicted-paper mark scheme has been written to closely reflect the marking conventions used by Cambridge Assessment International Education for the Cambridge IGCSE™ Economics (0455) syllabus.

This document consists of 24 printed pages.

Generic Marking Principles

These general marking principles must be applied by all examiners when marking candidate answers. They should be applied alongside the specific content of the mark scheme or generic level descriptions for a question.

GENERIC MARKING PRINCIPLE 1:

Marks must be awarded in line with the specific content of the mark scheme, the skills defined, and the standard of response required.

GENERIC MARKING PRINCIPLE 2:

Marks awarded are always whole marks (not half marks, or other fractions).

GENERIC MARKING PRINCIPLE 3:

Marks must be awarded positively: credit is given for correct/valid answers; marks are not deducted for errors or omissions.

GENERIC MARKING PRINCIPLE 4:

Rules must be applied consistently, including the use of generic level descriptors.

GENERIC MARKING PRINCIPLE 5:

Marks should be awarded using the full range of marks defined in the mark scheme.

GENERIC MARKING PRINCIPLE 6:

Marks awarded are based solely on the requirements as defined in the mark scheme.

Social Science-Specific Marking Principles

(for point-based marking)

Point marking is used to reward knowledge, understanding and application of skills. Credit is given where the candidate's answer shows relevant knowledge, understanding and application of skills in answering the question. Credit is not given where the answer shows confusion.

- Alternative answers/examples which are not written in the mark scheme are credited if they are correct.
- Answers worded differently from the mark scheme are credited if they convey the same meaning.
- Slashes (/) or 'or' separate alternative ways of making the same point.
- Bullets, semi-colons or figures in brackets separate different points.
- A correct answer to a calculation is given full credit, even without supporting working, unless working is explicitly required.
- The 'own figure rule' applies where a candidate's previous incorrect figure is carried forward correctly.

Calculation questions

The mark scheme shows the steps in the most likely correct method(s), the mark for each step, and the correct answer(s). If the candidate uses a valid method not covered by the mark scheme, award equivalent marks for reaching equivalent stages.

Question	Answer	Mark	Guidance
1(a)	**Calculate, using the source material, the percentage change in the quantity of Kenyan coffee supplied between 2021 and 2023.** 12.8% (1) (calculation: 0.4 × 32 = 12.8%)	1	Accept 12.8 or 13. Allow own figure rule.
1(b)	**Identify two indicators, other than GDP per head, that can be used to measure living standards.** Life expectancy / at birth (1) Literacy rate / adult literacy (1) HDI (1) Infant mortality rate (1) Access to clean water / sanitation (1)	2	Any two. Accept first two.
1(c)	**Explain what is meant by price elasticity of supply.** The responsiveness of quantity supplied (1) to a change in price (1). OR formula: PES = %ΔQs / %ΔP (1) with explanation of the ratio (1).	2	1 mark for definition, 1 mark for elaboration.
1(d)	**Explain two reasons why the price elasticity of supply of coffee may be low.** Time lags in production (1) coffee plants take years to mature so supply cannot rise quickly (1). Limited availability of suitable land (1) restricts expansion of output (1). Cost of storage may be high (1) limiting a producer's ability to release extra supply (1). Specialised capital equipment (1) cannot be rapidly acquired (1).	4	Any two. 1+1.
1(e)	**Analyse the relationship between GDP per head and life expectancy shown in Table 1.1.** There is no clear / very weak positive relationship (1). Kenya has the highest GDP per head ($2 180) but also the second lowest life expectancy (66) (1). Rwanda has the lowest GDP per head ($880) but the highest life expectancy (69) (1). Analysis: life expectancy depends on the quality of healthcare, nutrition and lifestyle, not only on income (1). Analysis: government spending on public health can improve life expectancy even at lower income levels (1).	4	Must address relationship, evidence and analysis.

1(f)	**Analyse, using a demand and supply diagram, the effect of a rise in global coffee prices on the Kenyan coffee market.** Diagram: Axes labelled price and quantity (1) D and S curves correctly labelled; initial equilibrium shown (1) Demand curve shifts right / world demand curve up (accept higher world price) (1) New equilibrium at higher price and higher quantity (P2 > P1, Q2 > Q1) (1) Written analysis: Higher world price encourages farmers to expand output (extension of supply) (1), raising export revenue (1).	5	Max 4 diagram + 2 written, overall max 5.
1(g)	**Discuss whether or not raising the bank rate will reduce inflation in Kenya.** **Why it might / reasons for:** • Higher interest rates reduce consumer borrowing (1) cuts spending on durables (1) lowers AD (1). • Higher rates raise the return on saving (1) further reducing consumption (1). • Higher rates raise the cost of business borrowing (1) slowing investment (1). • May strengthen the shilling (1) making imports cheaper and lowering imported inflation (1). **Why it might not / reasons against:** • Much inflation in Kenya is cost-push (1) from depreciation / imported fuel (1) interest rates have little effect (1). • If consumer confidence is already low (1) higher rates may not discourage spending much (1). • Higher rates slow economic growth (1) may raise unemployment (1). • Higher rates attract hot-money inflows (1) but this may reverse, causing volatility (1).	6	Up to 4 each side; max 6.
1(h)	**Discuss whether or not a depreciation of the shilling benefits the Kenyan economy.** **Why it might / reasons for:** • Exports become cheaper (1) increases demand for coffee and tea (1) may raise export revenue (1) if	6	Up to 4 each side; max 6.

	PEDx > 1. • Imports become more expensive (1) supports domestic producers (1). • Tourism increases (1) foreign tourists find Kenya cheaper (1). • Improves the current account (1) if Marshall-Lerner holds. **Why it might not / reasons against:** • Imported inflation rises (1) as import prices rise (1) hits households (1). • Foreign-currency debt becomes more costly (1) larger debt-service burden (1). • Confidence in the currency may fall (1) capital flight (1). • If exports have low PED (1) depreciation does not help trade balance (1).		
2(a)	**Define economic growth.** An increase in real GDP (1) over a period of time / usually measured annually (1).	2	Definition 2 marks.
2(b)	**Explain two causes of income inequality within a country.** Differences in education and skills (1) cause differences in productivity and hence wages (1). Unequal inheritance of wealth (1) gives some households investment incomes others lack (1). Regional differences (1) rural incomes are often lower than urban ones (1). Discrimination in hiring (1) leads to lower wages for particular groups (1).	4	Any two.
2(c)	**Analyse how progressive taxation may reduce income inequality.** Progressive tax takes a higher percentage from higher incomes (1). Reduces the disposable income gap between rich and poor (1). Revenue raised can be redistributed as welfare benefits (1). Can finance public services which benefit low-income households (1). Can reduce the share of national income going to top earners (1) narrowing the income distribution (1). Combined with the tax-free threshold, low earners pay no tax (1).	6	Coherent analysis.

2(d)	**Discuss whether or not a high rate of economic growth is always desirable.** *In assessing each answer, use the table at the end of the mark scheme.* **Why it might / reasons for:** • Raises real incomes and reduces absolute poverty • Raises tax revenue, funding healthcare, education and infrastructure • Creates jobs and reduces unemployment • Improves the country's international position and confidence of investors **Why it might not / reasons against:** • May create demand-pull inflation if AD outstrips productive capacity • Environmental degradation – pollution, resource depletion • Inequality may worsen if gains are concentrated at the top • Long working hours may lower well-being and living standards • Rapid growth may create a boom-and-bust cycle and current account deficit	8	See Guidance table at the end of the mark scheme.
3(a)	**Identify two examples of primary sector products.** Any two of: coal, iron ore, fish, timber, wheat, rice, oil, cotton, copper, gold, cocoa, coffee, beef (1 each).	2	Any two.
3(b)	**Explain two disadvantages of relying on the export of primary commodities.** Price volatility (1) leads to volatile export earnings and government revenue (1). Low value added (1) limits economic development (1). Income-inelastic demand (1) long-term growth in earnings is limited (1). Exposure to weather / natural disasters (1) creating supply shocks (1). Protectionism in target markets (1) restricts growth (1).	4	Any two.
3(c)	**Analyse the reasons why the prices of primary commodities may be volatile.** Supply is often price inelastic (1) as primary products take time to grow or extract (1).	6	Coherent analysis.

	Demand is also price inelastic (1) as commodities are raw inputs with few substitutes in the short term (1). Small shifts in supply or demand cause large price changes (1). Weather events cause sudden supply shocks (1). Speculation in commodity futures markets (1) amplifies price swings (1). Changes in global demand e.g. Chinese growth (1) cause large price shifts (1).		
3(d)	**Discuss whether or not a country should diversify its exports.** *In assessing each answer, use the table at the end of the mark scheme.* **Why it might / reasons for:** • Reduces dependence on any one commodity market and lowers revenue volatility • Can raise value added and incomes over time • Provides employment across sectors, reducing structural unemployment • Improves long-term prospects by moving into higher-income-elastic goods **Why it might not / reasons against:** • Comparative advantage may be strong in only a few sectors – diversification can lower efficiency • Diversification requires investment in skills and capital that the country may lack • Government-driven diversification can lead to government failure – picking losers • If the existing sector is very profitable, diversification may lower short-term incomes	8	See Guidance table at the end of the mark scheme.
4(a)	**Identify two types of unemployment.** Cyclical / demand-deficient (1) Structural (1) Frictional (1) Seasonal (1) Voluntary (1)	2	Any two.
4(b)	**Explain two supply-side policies a government may use to reduce unemployment.** Education and training (1) raising skills and the occupational mobility of workers (1). Reducing unemployment benefits (1) increasing the	4	Any two supply-side policies.

	incentive to take work (1). Cutting income tax (1) raising the return from work (1). Labour market deregulation (1) making hiring and firing easier (1). Regional policy / subsidies (1) encouraging firms to locate in high-unemployment areas (1).		
4(c)	**Analyse the consequences of high regional unemployment.** Falling real incomes in affected regions (1) lowering consumption (1). Rising poverty (1) and worsening health outcomes (1). Lower tax revenue (1) and higher welfare spending (1) worsening the fiscal position (1). Regional decline (1) businesses close (1) leading to further job losses (1). Potential out-migration (1) causing brain drain (1). Social problems (1) crime, social unrest (1).	6	Coherent analysis.
4(d)	**Discuss whether or not fiscal policy is more effective than monetary policy in reducing unemployment.** *In assessing each answer, use the table at the end of the mark scheme.* **Why it might / reasons for:** • Fiscal policy directly increases spending/cuts taxes, boosting AD quickly • Government investment can target specific regions or industries • Training and infrastructure spending addresses structural unemployment • Monetary policy may be ineffective at very low interest rates **Why it might not / reasons against:** • Fiscal policy has time lags – decisions, implementation and impact • May increase budget deficit and national debt • Monetary policy can be adjusted quickly and independently by the central bank • Interest rate cuts can stimulate investment and consumption without raising public debt • Neither addresses supply-side causes of unemployment	8	See Guidance table at the end of the mark scheme.
5(a)	**Identify two benefits to a country of joining a free-trade area.**	2	Any two.

	Removal of tariffs / barriers (1) Larger market for exports (1) Increased competition raising efficiency (1) Wider consumer choice (1) Lower prices (1) Foreign direct investment (1)		
5(b)	**Explain two reasons why a country may introduce trade barriers.** To protect infant industries (1) giving them time to achieve economies of scale (1). To reduce a current account deficit (1) by discouraging imports (1). To protect employment (1) preserving domestic jobs (1). To raise tax revenue (1) via tariffs on imports (1). To prevent dumping (1) products sold below cost price (1).	4	Any two.
5(c)	**Analyse how a customs union differs from a free-trade area.** Both: no tariffs on internal trade between members (1). Customs union: a common external tariff on non-members (1). Free-trade area: members set their own external tariffs (1). In an FTA, rules of origin are needed (1) to prevent deflection of trade (1). A customs union requires deeper policy coordination (1). An FTA offers more policy flexibility for its members (1).	6	Coherent analysis.
5(d)	**Discuss whether or not leaving a trading bloc benefits a country.** *In assessing each answer, use the table at the end of the mark scheme.* **Why it might / reasons for:** • Greater freedom to set tariffs and regulations independently • Can negotiate trade deals with non-members on better terms • Can target subsidies to domestic sectors without state-aid rules • May reduce contributions to bloc budgets	8	See Guidance table at the end of the mark scheme.

Why it might not / reasons against:

- New trade barriers with the bloc raise cost of exports and reduce trade volumes
- Loss of economies of scale from a smaller effective market
- Disruption to supply chains and to FDI into the country
- Lower growth and tax revenue; higher prices for consumers
- Non-members may offer limited alternative market access

Guidance table for Questions 2(d), 3(d), 4(d), 5(d)

Level	Description	Marks
3	A reasoned discussion which accurately examines both sides of the economic argument, making use of economic information and clear and logical analysis to evaluate economic issues and situations. One side of the argument may have more depth than the other, but overall both sides of the argument are considered and developed. There is thoughtful evaluation of economic concepts, terminology, information and/or data appropriate to the question. The discussion may also point out the possible uncertainties of alternative decisions and outcomes.	6–8
2	A reasoned discussion which makes use of economic information and clear analysis to evaluate economic issues and situations. The answer may lack some depth and development may be one-sided. There is relevant use of economic concepts, terminology, information and data appropriate to the question.	3–5
1	There is a simple attempt at using economic definitions and terminology. Some reference may be made to economic theory, with occasional understanding.	1–2
0	A mark of zero should be awarded for no creditable content.	0